Africa (:)

Q3 2026 Gambling Market & Regulatory Brief · Published 20 Oct 2026 (Blask Q3-2026 Africa rankings via Findmore Africa); NGB South Africa FY2024/25 report published Apr 2026 · Currency Local currencies (ZAR, KES, NGN, TZS, ETB) with ~USD alongside; tables in bn/m as labelled

CONFIDENTIAL · INTERNAL
Prepared: 21 Oct 2026
B2Tech · via Merlin

THE ONE-LINE VERDICT

Africa has no pan-continental GGR print; the Q3-26 "release" is a demand index (Blask, 42 markets) showing the continent down 1.9% QoQ with West Africa (Nigeria +15.6%, Ghana +21.5%) rebounding and the tail (Mali −80.8%, Rwanda −56.1%) collapsing. The only audited benchmark, South Africa, is a R74.5bn (~$4.07bn) GGR market growing 25.6% on online betting alone, while the rules elsewhere are moving toward higher fixed licence costs (Kenya KES 50m/~$388k online licence, 1-year term), broader stake/deposit-based excises (Kenya 5% of deposits, Tanzania 5% of stakes), player withholding (Kenya 20%) and payment-rail enforcement. Entry economics are deteriorating faster than demand is growing in most jurisdictions except South Africa and Nigeria.

AFRICA DEMAND (BLASK INDEX, 42 MKTS)	SOUTH AFRICA GGR (NGB, FY24/25)	SA ONLINE SHARE OF BETTING GGR	KENYA BETTING TAXES (KRA FY25/26)	KENYA ONLINE BOOKMAKER LICENCE FEE	NIGERIA DEMAND (BLASK)
−1.9% QoQ	**R74.5bn (~$4.07bn)**	**86%**	**KSh16.53bn (~$128m)**	**KES 50m (~$388k)**	**+15.6% QoQ**
Q3-26 vs Q2-26; 20 mkts up / 22 down	+25.6% YoY; betting 70% of GGR	R44.5bn (~$2.43bn); ~60% of all GGR online	+24.9% YoY; 115.9% of target	vs KES 8m draft; 1-yr term; sub judice	SportyBet +16.9%, Bet9ja +14.8% in-market

1 EXECUTIVE SUMMARY

- **There is no regulator-published pan-African GGR; the Q3-26 "release" is a demand proxy.** Blask's Q3-2026 ranking (published 20 Oct 2026 via Findmore Africa) sums a search/visibility-based "Blask Index" across 42 African markets for Jul–Sep 2026: aggregate demand −1.9% QoQ after a steeper Q2 slide, with 20 markets up and 22 down. It is not GGR, NGR or stakes and must be read as direction of travel only.
- **West Africa led the partial recovery; the frontier tail collapsed.** Nigeria +15.6% and Ghana +21.5% QoQ grew together for the first time since the Q2 downturn; Kenya +5.5% after a flat Q2; Ethiopia +40.9% off a licence-revoked base; South Africa −0.8%. Fallers: Mali −80.8%, Rwanda −56.1%, Tunisia −30.6%, Angola −15.6%, Mozambique −5.8%.
- **Brand demand is concentrated and the top two are flat.** betPawa (Index 252.6m, 24 markets, −2.2% QoQ) and Betway (215.7m, 30 markets, +0.2%) account for 51.3% of the top-20 Index (52.1% in Q2); the top five take ~74% (our calculation). The betPawa–Betway gap narrowed from 20.1% to 17.1%. SportyBet (+13.9%, #3), Bet9ja (+14.9%) and SportPesa (+26.2%, Kenya +33.1%) captured the Nigerian/Kenyan rebound; Premier Bet −33.3% on a 77% Mali collapse.
- **South Africa is the only audited, regulator-published market and it is large.** NGB's FY2024/25 summary (1 Apr 2024–31 Mar 2025, published Apr 2026): turnover R1.50tn (~$82bn) +30.7%; GGR R74.5bn (~$4.07bn) +25.6%; taxes/levies R5.81bn (~$0.32bn) +20.1%. Post-pandemic four-year average GGR growth is 34.1% vs 5.9% pre-pandemic.
- **SA is now a betting market, not a casino market.** Betting GGR R52.0bn (~$2.84bn) +44.7% = 70% of GGR (60% a year earlier); bookmakers' sports betting R47.9bn (~$2.62bn) +49.3%; bookmakers' horse racing R3.5bn (~$0.19bn) +12.3%; totalisator GGR R0.57bn and shrinking. Casinos R16.6bn (~$0.91bn) −4.1%, LPMs R4.1bn (~$0.23bn) −0.04%, bingo R1.7bn (~$0.09bn) −8.6%.
- **SA online penetration is already mature-market level.** In the six provinces that disaggregate, online betting GGR was R44.5bn (~$2.43bn) = 86% of betting GGR; NGB estimates ~60% of all SA gambling GGR is online, and notes this is understated because non-reporting provinces are booked as retail.
- **SA tax is provincial, GGR-based and low.** Total taxes/levies R5.8bn = 7.8% of GGR; betting R3.42bn (~$0.19bn, +41.8%) = 6.6% of betting GGR; casinos R1.72bn (~$0.09bn) = 10.3%; LPMs 12.7%. Mpumalanga (41%) and Western Cape (37%) host most online bookmaker GGR — a provincial licensing/tax arbitrage. National Treasury's 2025 discussion paper on a national online gambling tax [seen at snippet level only] is the structural swing factor.
- **SA licence counts are consolidating.** Operational bookmakers fell 7.1% to 315 (outlets up 11.9% to 594); 36 casinos operate against a 41-licence cap; 15,743 LPMs and 13,452 EBTs. Bookmaker licences are unlimited in several provinces subject to market demand/viability, so entry is possible but the demand curve is flattening (Blask SA −0.8% QoQ; Hollywoodbets absorbing local demand; Betway SA −2.9%).
- **Kenya has rebuilt its regime and repriced entry.** The Gambling Control Act 2025 created the Gambling Regulatory Authority (GRA, replacing BCLB). The Gambling Control (Licensing) Regulations 2026 (LN 111, gazetted 29 Jun 2026) set the online bookmaker and online casino licence fee at KES 50m (~$388k) versus KES 8m/6m in the March draft, plus KES 5m (~$39k) application, KES 5m annual operating fee and KES 12.5m (~$97k) renewal; online lottery KES 20m (~$155k). Term cut from 3 years (draft) to 1 year; gambling capital for an online bookmaker KES 100m (~$775k); a 6% levy on advertising spend (draft 10%); the hybrid multi-product licence was removed.
- **Kenya's fees are sub judice.** JR E251/2026 (Owuor & Brance v Prime CS, GRA, AG; AGOK and Safaricom interested parties): full stay 20 Jul; narrowed 7 Aug to the fee (Second) and capital (Third) Schedules; 24 Aug the court allowed GRA to collect fees (refundable if struck down) after 246 applications stalled; legacy licences expired on the 60-day transition deadline (28 Aug); judgment due 2 Oct did not land and the matter was listed for mention on 12 Oct — unresolved at 21 Oct 2026.
- **Kenya's tax base widened on 1 Jul 2026.** Finance Act 2026 keeps betting and gaming excise at 5% but moves the base from wallet-based charging to all amounts deposited for betting/gaming (horse racing exclusion removed); reintroduces 20% withholding tax on winnings (resident and non-resident) and redefines 'withdrawals' so WHT bites when funds are credited to the player account, closing the re-bet deferral loophole. The standing 15%-of-GGR betting/gaming tax was not re-verified this cycle. KRA betting taxes FY2025/26: KSh16.53bn (~$128m) +24.9%, 115.9% of the KSh14.26bn (~$110m) target; WHT on betting/gaming +59.2%.

- **Kenya enforcement is wired through payments and data.** LN 112 (Conduct of Gambling Operations) requires GRA approval for any payment service provider to process gambling payments (revocable), pre-trading integration with KRA's system and GRA's central monitoring system, declaration of every paybill, and player data stored/processed on servers in Kenya unless exempted. Safaricom's M-Pesa paybill switch (58 paybills cut in Apr 2025) is the de facto enforcement tool.
- **Nigeria has gone sub-national.** The Supreme Court (22 Nov 2024, AG Lagos v AG Federation) struck down the National Lottery Act 2005; NLRC is confined to the FCT (FCTA-LRO); the President declined assent to the Central Gaming Bill 2025. The Federation of State Gaming Regulators (FSGRN, 20+ states) adopted the Universal Reciprocity Certificate on 7 May 2025 covering online sports betting, online casino, public online lottery and promotional competitions; 2025 fees were waived for transitioning NLRC licensees and normal fees resumed 1 Jan 2026. Non-member states remain a legal gap; no regulator-published GGR, fee schedule or tax take could be verified this cycle (n/a).
- **Ghana is the fastest-growing large market on demand but fiscal creep continues.** Blask Ghana +21.5% QoQ (Betway +24.2%, SportyBet +28.1% in-market). The 10% withholding tax on winnings was repealed in 2025 and GGR is taxed at 20% [both snippet-level, unverified]; trade press on 20 Oct 2026 flagged a 20% VAT on digital services affecting online betting [unverified].
- **Tanzania moved to a stake-based excise.** A 5% excise duty on betting stakes was introduced in the FY2026/27 budget from July 2026, targeted to raise TZS74.5bn (~$29m) [trade-press reports of the budget; not verified against the Finance Act]. betPawa's Tanzania demand fell in Q3; SportPesa added a small lift.
- **Ethiopia is a regulatory vacuum, not a market.** The Ethiopian Lottery Service revoked all sports-betting licences in Dec 2025 and signalled in Sep 2026 a stricter relaunch of sports betting and digital lotteries with no published timetable; an audit cited a Birr 27.5bn revenue gap [snippet-level]. Q3 demand +40.9% reflects grey-market and public-debate activity, not licensed turnover.
- **Payments reality: mobile money is both the rail and the regulator's lever.** Kenya (M-Pesa paybills), Tanzania and Uganda run on mobile money; South Africa runs on cards/EFT/vouchers under provincial rules. Where the regulator can switch off a paybill, licence compliance is enforced in hours, not months — a key design consideration for any PSP stack.
- **Responsible-gambling and advertising rules are tightening in step.** Kenya now levies 6% of advertising spend and has separate 2026 regulations on advertising, conduct, foreign-based operators and an appeals tribunal; NGB flags rising problem gambling and intensified awareness/enforcement in SA; Ethiopia's relaunch is framed around stricter controls.
- **Read-through for B2Tech.** Three tiers: (i) South Africa — large, measurable, low effective tax (6.6% of betting GGR), 86% online, but growth decelerating (betting GGR growth 53%→51%→45% over three years) and a national online tax under discussion; (ii) Kenya — ~$0.5m of year-one fixed fees for an online book, 5%-of-deposits excise, 20% WHT and 15% GGR tax, with fee legality unresolved — a consolidation market; (iii) Nigeria/Ghana — strongest demand recovery but state-by-state licensing (Nigeria) and VAT/levy creep (Ghana). Frontier markets (Mali, Rwanda, Ethiopia) demonstrate single-event regulatory risk that can erase 50–80% of demand in a quarter.

2 MARKET SUMMARY

MARKET SUMMARY (LOCAL CURRENCY; ~USD)	LATEST VALUE	PERIOD	CHANGE	BASIS / NOTE
CONTINENTAL DEMAND (BLASK)				
Africa Blask Index, 42 markets	n/a (index)	Q3-26	−1.9% QoQ	Search/visibility demand proxy, not GGR; 20 mkts up / 22 down
Top-20 brand Index total	912.2m	Q3-26	+0.3% QoQ	Sum of top-20 (our calc); betPawa+Betway = 51.3% (52.1% Q2)
SOUTH AFRICA (NGB, AUDITED, FY TO 31 MAR 2025)				
Turnover (stakes), all modes	R1,500.7bn (~$82.0bn)	FY24/25	+30.7% YoY	Betting 75% of turnover
GGR, all modes	**R74.5bn (~$4.07bn)**	**FY24/25**	**+25.6% YoY**	**Gross of tax; 4-yr post-COVID avg +34.1%**
Betting GGR (bookmakers + totes)	R52.0bn (~$2.84bn)	FY24/25	+44.7% YoY	70% of GGR (60% prior yr); hold 4.6% of stakes
of which bookmakers' sports betting	R47.9bn (~$2.62bn)	FY24/25	+49.3% YoY	Prior years +55.3%, +61%, +57%
of which online betting (6 provinces)	R44.5bn (~$2.43bn)	FY24/25	n/a	86% of betting GGR; ~60% of total GGR online (NGB est., understated)
Casino GGR	R16.6bn (~$0.91bn)	FY24/25	−4.1% YoY	22% share; 36 casinos operating / 41 cap
LPM GGR	R4.1bn (~$0.23bn)	FY24/25	−0.04% YoY	6% share; 15,743 active LPMs
Bingo GGR	R1.7bn (~$0.09bn)	FY24/25	−8.6% YoY	2% share; 13,452 EBTs
Taxes/levies, all modes	R5.8bn (~$0.32bn)	FY24/25	+20.1% YoY	7.8% of GGR; provincial GGR-based regimes
Taxes/levies, betting	R3.4bn (~$0.19bn)	FY24/25	+41.8% YoY	6.6% of betting GGR; 59% of all gambling tax
Operational bookmakers / outlets	315 / 594	31 Mar 2025	−7.1% / +11.9%	Licences unlimited in several provinces subject to viability
KENYA (GRA / KRA)				
Betting taxes collected (KRA)	KSh16.53bn (~$128m)	FY25/26 (Jul–Jun)	+24.9% YoY	115.9% of KSh14.26bn target; WHT on betting/gaming +59.2%
Excise duty — betting & gaming	5% of deposits	from 1 Jul 2026	Base widened	Finance Act 2026: wallet-based → all amounts deposited; horse racing now in scope
Withholding tax on winnings	20%	from 1 Jul 2026	Reintroduced	Tax point = credit to player account (closes re-bet deferral)
Betting/gaming tax on GGR	15% of GGR	standing	n/a	[not re-verified this cycle]
Online bookmaker / casino licence fee	KES 50m (~$388k)	LN 111, 29 Jun 2026	vs KES 8m / 6m draft	+KES 5m application, KES 5m annual, KES 12.5m renewal; 1-yr term; sub judice (JR E251/2026)
Gambling capital — online bookmaker	KES 100m (~$775k)	LN 111	vs KES 50m draft	Public lottery KES 150m (~$1.16m); suspended pending judgment
Advertising levy	6% of ad spend	LN 111	vs 10% draft	Separate 2026 advertising regulations in force
NIGERIA (STATE REGULATORS / FSGRN)				
GGR / stakes	n/a	—	Demand +15.6% QoQ (Blask)	No regulator-published market statistics
Licensing	State licences + URC	from 7 May 2025	Fees resumed 1 Jan 2026	URC covers online sports betting, online casino, online lottery, promos; non-FSGRN states = gap
OTHER MARKETS				
Ghana demand (Blask)	n/a (index)	Q3-26	+21.5% QoQ	GGR n/a; 20% GGR tax & 10% winnings WHT repeal [unverified]
Tanzania — excise on betting stakes	5% of stakes	from Jul 2026 (FY26/27)	New	Target TZS74.5bn (~$29m) [trade press; unverified vs Finance Act]
Ethiopia — sports betting	All licences revoked	Dec 2025	Relaunch pending	ELS signalled stricter relaunch Sep 2026; no timetable; demand +40.9% QoQ

3 DEEP-DIVE — DEMAND & OPERATOR LANDSCAPE (BLASK Q3-26, 42 MARKETS)

Continent −1.9% QoQ; West Africa rebounds, frontier tail collapses; betPawa and Betway hold 51% of top-20 demand but are not growing.

AGGREGATE DEMAND

Aggregate demand across the 42 markets fell 1.9% QoQ, a marked deceleration from the Q2 slide; 20 markets grew and 22 fell.

- Q3-2026 edition (July–September, published 20 Oct 2026) uses the same 42-market set and data pull for both quarters, so QoQ comparison is internally consistent.
- The index is a demand proxy built from open-source signals rather than reported GGR.
- Gainers led by small bases: Sudan +52.3%, Ethiopia +40.9%, Sierra Leone +36.1%.
- Absolute weight sits with Ghana +21.5% and Nigeria +15.6%, growing for the first time since the Q2 downturn.
- Kenya +5.5% and Uganda +1.3% stabilised; DR Congo +4.2%; Botswana +11% and Zimbabwe +9.9% extended a Southern African recovery South Africa did not share (−0.8%).

BETPAWA AND BETWAY

The two broadest footprints hold 51.3% of the top-20 Index (52.1% in Q2) but have stopped compounding; growth is going to country specialists.

- betPawa Index 252.6m across 24 countries (−2.2% QoQ); declines in Tanzania, Uganda and Cameroon partly offset by DR Congo and Zambia.
- Betway 215.7m across 30 countries (+0.2%), rotating out of South Africa (−2.9%) into Ghana (+24.2%) and Mozambique (+5%).
- Gap between the two narrowed from 20.1% to 17.1%.
- Our top-20 aggregation gives a combined Index of 912.2m, +0.3% QoQ — essentially flat — with the top five at roughly 74%.

NIGERIAN AND KENYAN GROWERS

The growth cohort is Nigerian and Kenyan single-country specialists, effectively bets on Nigerian and Kenyan regulatory stability.

- SportyBet +13.9% to 91.7m (22 markets) on Nigeria +16.9% and Ghana +28.1%; Bet9ja +14.9% to 33.9m on Nigeria +14.8%.
- SportPesa +26.2% to 18.6m almost entirely on Kenya +33.1% with a smaller Tanzanian lift.
- Fortebet +14.4% on Uganda +14.7% in a market only +1.3% overall; Betika +5.7%, recovering modestly in Kenya (+2.5%) after a sharp Q2 drop.
- None has a second market large enough to offset its home market.

DECLINERS AND MOVERS

A single jurisdiction can swing a multi-market operator: Premier Bet fell 33.3% to 22.0m as Mali dropped 80.8%.

- Premier Bet (22 countries) lost 77% of its Mali line; Elephant Bet −10.2% shed demand in Mozambique and Angola, its two largest markets.
- Rwanda's 56.1% market decline hit Fortebet's non-Ugandan lines.
- South Africa: YesPlay −8.8% and Lotto Star −6% gave back Q2 gains as the market flattened; Hollywoodbets +1.1% (76.4m) continued absorbing local demand.
- MWOS and Betclic entered the top 20 as bet223 and 888bet dropped out.
- 1xBet is present in all 42 markets but ranks only 12th (16.5m): a thin, broad grey-to-licensed footprint rather than depth anywhere.

ENTRY IMPLICATIONS

The continent is not growing in aggregate on a demand basis in 2026, so share must be taken rather than ridden.

- Nigeria and Ghana are where incremental demand is appearing; leaders there (SportyBet, Bet9ja, Betway) are local-content and local-payment specialists.
- Exposure to small francophone and East African frontier markets carries a demonstrated 50–80% single-quarter demand drawdown risk when licensing or payment access changes.

BLASK INDEX, AFRICA TOP 20 (Q3-26 VS Q2-26)	COUNTRIES	INDEX Q3-26	INDEX Q2-26	QOQ
1. betPawa	24	252.6m	258.4m	−2.2%
2. Betway	30	215.7m	215.2m	+0.2%
3. SportyBet	22	91.7m	80.5m	+13.9%
4. Hollywoodbets	6	76.4m	75.6m	+1.1%
5. Betika	16	38.1m	36.1m	+5.7%
6. Bet9ja	10	33.9m	29.5m	+14.9%
7. Elephant Bet	6	23.1m	25.7m	−10.2%
8. Premier Bet	22	22.0m	33.0m	−33.3%
9. SportPesa	10	18.6m	14.7m	+26.2%
10. NgeNge	2	18.4m	19.4m	−5.6%
11. BetKing	5	17.2m	16.5m	+4.3%
12. 1xBet	42	16.5m	16.4m	+0.8%
13. GameMania	1	14.4m	14.4m	−0.3%
14. Lotto Star	1	14.1m	15.0m	−6.0%
15. Fortebet	6	13.0m	11.3m	+14.4%
16. Winner Bet	6	11.1m	10.7m	+3.5%
17. Congo Bet	2	10.6m	10.8m	−2.1%
18. YesPlay	1	8.4m	9.2m	−8.8%
19. MWOS	3	8.3m	8.0m	+3.7%
20. Betclic	4	8.2m	8.6m	−4.0%
Top-20 total (our calc)	**—**	**912.2m**	**909.0m**	**+0.3%**
betPawa + Betway share of top-20	**—**	**51.3%**	**52.1%**	**−0.8pp**
MARKET MOVES (INDEX, QOQ)				
Nigeria / Ghana / Kenya	—	+15.6% / +21.5% / +5.5%	—	West Africa led
South Africa / Uganda / DR Congo	—	−0.8% / +1.3% / +4.2%	—	Stable
Ethiopia / Sudan / Sierra Leone	—	+40.9% / +52.3% / +36.1%	—	Small bases; Ethiopia unlicensed
Mali / Rwanda / Tunisia	—	−80.8% / −56.1% / −30.6%	—	Single-event drawdowns
Angola / Mozambique	—	−15.6% / −5.8%	—	Continued softening

4 DEEP-DIVE — SOUTH AFRICA — THE AUDITED BENCHMARK (NGB FY2024/25)

R74.5bn (~$4.07bn) GGR +25.6%, driven entirely by online sports betting (+49.3%); land-based in decline; effective tax 7.8% of GGR with a national online tax under discussion.

HEADLINE FIGURES

GGR reached R74.5bn (~$4.07bn), +25.6%, in the only regulator-audited GGR series on the continent, with signs of a plateau by Q4.

- FY2024/25 (1 April 2024–31 March 2025) compiled from audited provincial licensing authority submissions under s.65 of the National Gambling Act 2004, published April 2026.
- Turnover R1,500.7bn (~$82.0bn), +30.7%; taxes and levies R5.81bn (~$0.32bn), +20.1%.
- Quarterly GGR R17.3bn, R18.1bn, R20.1bn and R19.1bn (vs R13.8bn–R15.7bn prior year); Q4 FY24/25 (Jan–Mar 2025) was already below Q3.
- Blask's flat Q3-26 SA demand reading corroborates the plateau.
- NGB describes a structural post-COVID shift: average GGR growth of 34.1% in the four post-pandemic years against 5.9% before.

BETTING DRIVES GROWTH

Growth is wholly a betting story: betting GGR R52.0bn (~$2.84bn), +44.7%, lifting its share of GGR from 60% to 70%.

- Betting turnover R1,125.6bn (~$61.5bn), +47.9%, implying a blended hold of 4.6%.
- Bookmakers' sports betting GGR R47.9bn (~$2.62bn), +49.3% (after +55.3%, +61% and +57% in prior years — decelerating but still compounding); horse racing R3.5bn (~$0.19bn), +12.3%.
- Totalisator horse racing R0.34bn (−10.6%) and totalisator sports R0.23bn (−9.8%) continue to shrink.
- Casinos fell 4.1% to R16.6bn (~$0.91bn), LPMs flat at R4.1bn (~$0.23bn), bingo fell 8.6% to R1.7bn (~$0.09bn); casino share of GGR fell from 81.9% in FY2010/11 to 22.3%.
- In six disaggregating provinces (WC, MP, LP, NW, EC, NC) online betting GGR was R44.5bn (~$2.43bn), 86% of betting GGR; NGB estimates ~60% of all SA GGR online, explicitly understated.

LICENSING MAP

Provincial licensing drives the skew: Mpumalanga generated 41% of betting GGR (R21.3bn), Western Cape 37% (R19.5bn), Gauteng only 9%.

- Bookmaker licences unlimited in Western Cape, Mpumalanga, Limpopo, Northern Cape and Free State subject to demand and viability; capped at 131 in Gauteng, 48 in KZN, 19 in North West.
- Mpumalanga took 54% of betting turnover.
- Operational bookmakers fell 7.1% to 315 (Gauteng 140, Mpumalanga 52, Western Cape 47); outlets rose 11.9% to 594 and totalisator outlets to 366.
- 36 of a maximum 41 casino licences operating after Mayfair Casino (Eastern Cape) closed in January 2025.
- Consolidation at the licence level alongside 45% GGR growth shows scale economics in marketing and payments are already biting.

TAX AND FISCAL RISK

Taxes/levies of R5.8bn equal 7.8% of GGR; a national online gambling tax is the single most important fiscal risk.

- Betting contributed R3.42bn (~$0.19bn), +41.8%, or 6.6% of betting GGR (59% of all gambling tax); casinos R1.72bn (~$0.09bn, 10.3%, −2.9%); LPMs R0.53bn (12.7%); bingo R0.15bn (8.4%).
- Mpumalanga (R1.40bn) and Western Cape (R1.23bn) collected 77% of betting tax.
- National Treasury's 2025 discussion paper on a national online gambling tax [seen at snippet level only; not read] would move SA from the lowest effective betting tax here toward Kenyan levels.
- NGB flags rising problem-gambling consequences and intensified enforcement against illegal operators and uncertified equipment.

COMMERCIAL READ

South Africa is the one African market where an entrant can underwrite a plan on audited numbers, but demand is flat and incumbents entrenched.

- ~$2.4bn online betting pool growing (but decelerating) at 40%+, 6.6% effective GGR tax, card/EFT/voucher payments, provincial licence obtainable in Western Cape or Mpumalanga.
- Counterweights: flat Q3-26 demand reading; Hollywoodbets (Blask 76.4m) and Betway (largest Betway market) entrenchment.
- Remote Gambling policy vacuum leaves online casino technically outside the national framework; bookmakers offer casino-style 'betting on' products under provincial rules.
- The national tax debate remains a counterweight.

SOUTH AFRICA (NGB), ZAR BN (~USD BN)	FY2024/25	FY2023/24	YOY	SHARE / NOTE
Turnover, all modes	R1,500.7bn (~$82.0bn)	R1,142.7bn (~$62.4bn)	+30.7%	Betting 75%
GGR, all modes	**R74.5bn (~$4.07bn)**	**R59.3bn (~$3.24bn)**	**+25.6%**	**Q4 R19.1bn < Q3 R20.1bn**
Betting GGR (bookmakers + totes)	R52.0bn (~$2.84bn)	R35.9bn (~$1.96bn)	+44.7%	70% of GGR (60%)
Bookmakers — sports betting	R47.9bn (~$2.62bn)	R32.1bn (~$1.75bn)	+49.3%	Prior: +55.3%, +61%, +57%
Bookmakers — horse racing	R3.5bn (~$0.19bn)	R3.1bn (~$0.17bn)	+12.3%	
Totalisators — horse + sports	R0.57bn (~$0.03bn)	R0.63bn (~$0.03bn)	−10.3%	Structural decline
Online betting GGR (6 provinces)	R44.5bn (~$2.43bn)	n/a	n/a	86% of betting GGR; ~60% of total
Retail betting GGR (incl. non-reporting provinces)	R7.5bn (~$0.41bn)	n/a	n/a	14%; overstated
Casino GGR	R16.6bn (~$0.91bn)	R17.4bn (~$0.95bn)	−4.1%	22%; 36 casinos / 41 cap
LPM GGR	R4.1bn (~$0.23bn)	R4.1bn (~$0.23bn)	−0.04%	6%; 15,743 LPMs
Bingo GGR	R1.7bn (~$0.09bn)	R1.9bn (~$0.10bn)	−8.6%	2%; 13,452 EBTs
Taxes/levies, all modes	**R5.8bn (~$0.32bn)**	**R4.8bn (~$0.26bn)**	**+20.1%**	**7.8% of GGR**
Taxes — betting	R3.4bn (~$0.19bn)	R2.4bn (~$0.13bn)	+41.8%	6.6% of betting GGR
Taxes — casinos	R1.7bn (~$0.09bn)	R1.8bn (~$0.10bn)	−2.9%	10.3% of casino GGR
Taxes — LPM / bingo	R0.53bn / R0.15bn	n/a	n/a	12.7% / 8.4% of GGR
BETTING GGR BY PROVINCE				
Mpumalanga / Western Cape / Gauteng	R21.3bn / R19.5bn / R4.7bn	—	—	41% / 37% / 9%
LICENCE COUNTS (31 MAR 2025)				
Bookmakers / outlets / tote outlets	315 / 594 / 366	349 / 531 / 299	−7.1% / +11.9% / +22.4%	Gauteng 140 bookmakers
Casinos / slots / tables	36 / 21,370 / 890	37 / 22,070 / 955	−1 / −3.2% / −6.8%	Mayfair (EC) closed Jan 2025

5 DEEP-DIVE — KENYA — GAMBLING CONTROL ACT REGIME: LICENSING, TAX AND ENFORCEMENT

Entry repriced to ~KES 60m (~$465k) year-one for an online book on a 1-year term, 5%-of-deposits excise plus 20% winnings WHT from 1 Jul 2026; fee legality unresolved after the 2 Oct judgment slipped.

NEW LICENSING REGIME

Gazetted regulations on 29 June 2026 raised the online bookmaker licence fee from KES 8m to KES 50m (~$388k) on a one-year term.

- Gambling Control Act 2025 created the GRA in place of the BCLB; regulations include Licensing (LN 111), Conduct of Gambling Operations (LN 112), Advertising, Foreign-Based Operators and an Appeals Tribunal.
- Online casino rose from KES 6m to KES 50m, online lottery KES 6m to KES 20m (~$155k); annual operating fee KES 3m to KES 5m (~$39k); renewal KES 12.5m (~$97k).
- Gambling capital for an online bookmaker doubled to KES 100m (~$775k), public lottery KES 150m (~$1.16m), online bingo KES 50m; hybrid four-product licence deleted.
- Advertising levy set at 6% of spend against a 10% proposal the Association of Gaming Operators Kenya opposed.
- Legacy BLGA licences stayed valid 60 days from gazettement, to 28 August 2026.

JUDICIAL REVIEW

Fee and capital schedules are under judicial review; judgment set for 2 October did not land, so operators have paid KES 50m-scale fees under an undertaking.

- JR E251/2026, Owuor & Brance v Prime Cabinet Secretary, GRA and AG; AGOK and Safaricom interested parties.
- Justice Musyoka granted leave on 20 July as a stay of the whole regulations; on 7 August narrowed it to the Second Schedule (fees) and Third Schedule (capital).
- On 24 August GRA was allowed to collect disputed fees so 246 stalled applications could proceed, with refunds undertaken if schedules are struck down.
- Applicants argue the wrong Cabinet Secretary signed; the judge flagged applicants' standing (neither holds a licence).
- Listed for mention 12 October; as of 21 October the outcome is unknown.

TAX STACK

From 1 July 2026 excise of 5% applies to all deposits and 20% withholding tax on winnings is reintroduced, with receipts already surging.

- Excise base shifts from wallet-based mechanism to all amounts deposited regardless of whether they sit in a wallet; horse-racing exclusion deleted.
- WHT 20% for residents and non-residents; 'withdrawals' redefined so the tax point is when money is paid to the player's account, closing the re-bet deferral.
- The standing 15%-of-GGR betting/gaming tax was not re-verified in this cycle.
- KRA FY2025/26: betting taxes KSh16.53bn (~$128m), +24.9%, 115.9% of a KSh14.26bn (~$110m) target; betting tax +20.3%, WHT on betting and gaming +59.2%.
- Betting outgrew corporation tax (+14.0%), VAT (+8.5%) and PAYE (+6.7%).

PAYMENTS ENFORCEMENT

Licence suspension equals immediate loss of M-Pesa collections; hosting, data and tax-API architecture must be Kenya-resident from day one.

- LN 112 bars payment service providers from processing gambling payments without GRA approval, which GRA can revoke.
- Licensees must confirm integration with KRA's tax system and GRA's central monitoring system and declare every paybill before trading.
- Player data encrypted in transit and at rest and stored on servers in Kenya unless GRA grants a written exemption.
- Precedent: April 2025, when the previous regulator ordered Safaricom to cut off paybills for 58 platforms.

ENTRANT ECONOMICS

This is a consolidation regime designed around incumbents; attractive only with an existing Kenyan customer base or a B2B route into a licensed incumbent.

- Demand recovering modestly: Blask Kenya +5.5% QoQ in Q3 after a flat Q2; SportPesa +33.1% in-market, Betika +2.5%.
- Year-one cost ~KES 60m (~$465k) of fees, KES 100m (~$775k) ring-fenced capital, 6% of advertising spend, 5% of every deposit, 15% of GGR, 20% of player winnings.
- One-year licence whose fee may or may not survive judicial review; sub-scale brands squeezed out in favour of SportPesa, Betika and the pan-African books.

KENYA — LICENSING & TAX PARAMETERS (KES; ~USD AT 129)	GAZETTED (LN 111, JUN 2026)	MARCH 2026 DRAFT	STATUS	NOTE
Online bookmaker — licence fee	KES 50m (~$388k)	KES 8m (~$62k)	Collected under court order; sub judice	1-year term; renewal KES 12.5m (~$97k)
Online bookmaker — application / annual operating fee	KES 5m / KES 5m (~$39k each)	— / KES 3m	In force	Year-one cash ≈ KES 60m (~$465k)
Online casino — licence fee	KES 50m (~$388k)	KES 6m (~$47k)	Sub judice	
Online lottery — licence fee	KES 20m (~$155k)	KES 6m (~$47k)	Sub judice	
Hybrid 4-product online licence	Removed	KES 12m (~$93k)	—	Each product licensed separately
Gambling capital — online bookmaker	KES 100m (~$775k)	KES 50m	Stayed (3rd Schedule)	
Gambling capital — public lottery / online bingo	KES 150m / KES 50m	KES 50m / KES 0.5m	Stayed	
Advertising levy	6% of ad spend	10% proposed	In force	AGOK objected to 10%
Excise duty — betting & gaming	5% of amounts deposited	5% wallet-based	From 1 Jul 2026	Horse racing exclusion removed
Withholding tax on winnings	20%	—	From 1 Jul 2026	Tax point = credit to player account
Betting/gaming tax on GGR	15% of GGR	—	Standing	[not re-verified this cycle]
KRA betting taxes collected	**KSh16.53bn (~$128m)**	**Target KSh14.26bn (~$110m)**	**FY25/26, +24.9%**	**WHT on betting/gaming +59.2%**
Transition deadline (legacy BLGA licences)	28 Aug 2026	—	Passed	60 days from 29 Jun gazette
Judicial review E251/2026	Judgment pending	—	Mention 12 Oct 2026	Fees refundable if struck down
Payment / data conditions (LN 112)	PSP approval; KRA + CMS integration; KE data residency	—	In force since Jun 2026	Not challenged

6 DEEP-DIVE — NIGERIA — STATE-LED LICENSING AFTER THE SUPREME COURT

Largest demand rebound (+15.6% QoQ) inside the least settled legal framework: NLRC confined to the FCT, 20+ states licensing via FSGRN's Universal Reciprocity Certificate, fees live since 1 Jan 2026, non-member states a gap.

SUPREME COURT RULING

The 22 November 2024 ruling made betting an exclusive state matter, confining NLRC to the FCT after the Central Gaming Bill 2025 was refused assent.

- Seven-judge panel in Attorney-General of Lagos State & 21 Ors v Attorney-General of the Federation & 15 Ors declared the National Lottery Act 2005 unconstitutional in its entirety.
- Perpetual injunction issued against federal implementation in any state.
- Central Gaming Bill 2025 passed both chambers but presidential assent was refused: the medium does not change the constitutional character of the activity.
- FCTA Lottery Regulatory Office now licenses retail lottery, sports betting, casino, interactive gaming and telco-facilitated gaming in the FCT, described as second-largest market after Lagos.

SUB-NATIONAL FRAMEWORK

FSGRN's Universal Reciprocity Certificate covers online products across 20+ member states, with fees live since 1 January 2026, but non-member states remain a gap.

- Lagos State's LSLGA (2021 law) is the benchmark regulator across land-based and online channels; Rivers, Ogun and Plateau had parallel regimes before the judgment.
- On 7 May 2025 FSGRN adopted a Subnational Reciprocity Licensing Framework; the URC authorises online sports betting, online casino, public online lottery and promotional competitions.
- Transitioning NLRC licensees meeting criteria received a full licence-fee waiver for the 2025 licensing year.
- URC does not cover land-based categories and has no effect in non-FSGRN states; enforcement risk there takes the form of ad hoc executive or revenue action.

DATA GAPS

No state regulator or FSGRN publishes market GGR, stakes or active-player data; demand is the only quantified signal.

- URC fee schedule and state-level tax rates (lottery/gaming levies, withholding on winnings under the 2025 federal tax reform) could not be verified and are shown as n/a.
- Blask has Nigeria +15.6% QoQ in Q3-26 after a Q2 contraction; SportyBet +16.9%, Bet9ja +14.8% in-market, BetKing +4.3% Africa-wide.
- All three are Nigeria-centric brands with no second market of comparable weight.

B2TECH IMPLICATIONS

Nigeria must be approached as a federation of licences; demand recovery is the strongest of the large markets but regulatory cost scales with states.

- Required: a URC for covered online products, an LSLGA licence for Lagos, FCTA-LRO for Abuja, and a risk-tiered map of FSGRN states, independent-regime states and no-framework states.
- Due diligence on any acquisition must treat legacy NLRC licences as insufficient.
- Upside: incumbents are local brands rather than pan-African books, leaving room for a differentiated product.
- Downside: regulatory cost scaling with the number of states and no audited market data to size the opportunity.

NIGERIA — REGULATORY FRAMEWORK (POST-22 NOV 2024)	POSITION	EFFECTIVE	SCOPE	NOTE
Constitutional competence	States (residual matter)	22 Nov 2024	All lottery, betting, gaming	AG Lagos v AG Federation (SC/1/2008); NLA 2005 void
NLRC (federal)	FCT only	Post-judgment	Via FCTA Lottery Regulatory Office	Perpetual injunction vs federal implementation in states
Central Gaming Bill 2025	Not assented	2025	—	President: online medium does not confer federal competence
FSGRN membership	20+ states	7 May 2025	Coordinating platform	Non-members = legal gap
Universal Reciprocity Certificate (URC)	Single multi-state authorisation	7 May 2025	Online sports betting, online casino, public online lottery, promos	Land-based excluded; via FSGRN Secretariat
URC transitional relief	2025 fee waiver for ex-NLRC licensees	2025	Qualifying operators	Normal fees from 1 Jan 2026
Lagos (LSLGA, 2021 law)	Benchmark regulator	In force	Sports betting, casino, lottery, gaming machines, pool, promos	Land-based and online
Market GGR / stakes / actives	n/a	—	—	No regulator-published statistics
Licence fees / state taxes / winnings WHT	n/a	—	—	Not verified from primary source this cycle
Demand (Blask)	**+15.6% QoQ**	**Q3-26**	**—**	**SportyBet +16.9%, Bet9ja +14.8% in-market**

7 DEEP-DIVE — GHANA, TANZANIA, ETHIOPIA AND THE FRONTIER TIER

Ghana is the demand leader (+21.5% QoQ) with VAT/levy creep; Tanzania shifted to a 5% stake excise; Ethiopia is closed pending a stricter relaunch; small markets showed 50–80% single-quarter drawdowns.

GHANA

Ghana is the demand leader at +21.5% QoQ but faces indirect-tax creep that must be diligenced before relying on it as the growth leg.

- Betway +24.2% and SportyBet +28.1% in-market; Ghana was Betway's offset for a weaker South Africa.
- Trade press reports a 20% tax on GGR and the 2025 repeal of the 10% withholding tax on betting winnings; Gaming Commission of Ghana maintains licensing through 2026.
- On 20 October 2026 trade press flagged a 20% VAT on digital services as affecting online betting.
- None of these items was read from a primary source; all are marked unverified.

TANZANIA

Tanzania moved to a 5% excise on betting stakes from July 2026, economically severe for a book on single-digit hold.

- Government reportedly targeted an additional TZS74.5bn (~$29m); seen only in trade-press coverage, not verified against the Finance Act or Gaming Board regulations.
- At South Africa's 4.6% blended hold the levy would exceed GGR; expected to compress odds, promotions and market size.
- Blask shows betPawa's Tanzanian demand declining in Q3 with only a small SportPesa lift.

ETHIOPIA

Ethiopia is a regulatory vacuum: all sports-betting licences were revoked in December 2025 and no reopening timetable has been published.

- In September 2026 the Ethiopian Lottery Service said it is preparing a stricter relaunch of sports betting and digital lotteries.
- An audit reportedly cited a Birr 27.5bn revenue gap [snippet-level, unverified; USD not converted for lack of a verified rate].
- Blask's +40.9% Q3 demand reading tracks public debate and grey-market activity, not licensed turnover, and should not be modelled as revenue.

FRONTIER TAIL

Small francophone and East African markets can lose more than half their demand in a quarter, so they belong in an opportunistic bucket.

- Mali −80.8% (Premier Bet's line −77%), Rwanda −56.1%, Tunisia −30.6%, Angola −15.6%, Mozambique −5.8%.
- Uganda (+1.3%, Fortebet +14.7%) and DR Congo (+4.2%, NgeNge and Congo Bet roughly flat) were stable; Botswana +11% and Zimbabwe +9.9% continued a Southern African recovery.
- No regulator statistics for these markets were obtained in this cycle.

OTHER MARKETS — Q3-26 DEMAND AND RULE CHANGES	DEMAND QOQ (BLASK)	KEY RULE CHANGE	EFFECTIVE	VERIFICATION
Ghana	+21.5%	20% GGR tax; 10% winnings WHT repealed 2025; 20% digital VAT flagged	2025 / Oct 2026	Trade press only — unverified
Tanzania	betPawa down; SportPesa up (mkt n/a)	5% excise on betting stakes; target TZS74.5bn (~$29m)	Jul 2026 (FY26/27)	Trade press — not checked vs Finance Act
Ethiopia	+40.9%	All sports-betting licences revoked; stricter relaunch signalled	Dec 2025 / Sep 2026	ELS statement via press; Birr 27.5bn gap unverified
Uganda	+1.3%	n/a	—	Fortebet +14.7% in-market
DR Congo	+4.2%	n/a	—	NgeNge ~flat; Congo Bet −2.1%
Botswana / Zimbabwe	+11.0% / +9.9%	n/a	—	Southern Africa recovery ex-SA
Mali / Rwanda / Tunisia	−80.8% / −56.1% / −30.6%	n/a	—	Premier Bet Mali −77%
Angola / Mozambique	−15.6% / −5.8%	n/a	—	Elephant Bet −10.2% Africa-wide
Sudan / Sierra Leone	+52.3% / +36.1%	n/a	—	Small bases

8 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING AND ADVERTISING

Mobile money is both the rail and the regulator's switch; data residency and tax-API integration are now licence conditions in Kenya; advertising levies and RG obligations are rising everywhere.

EAST AFRICA PAYMENTS

In East Africa M-Pesa access, not the licence certificate, is the binding constraint; expect similar architectures to spread to Tanzania and Uganda.

- Kenya's LN 112 makes GRA approval a revocable precondition for any PSP to process gambling payments; licensees must declare every paybill and integrate with KRA taxation-at-source and GRA monitoring before trading.
- Safaricom is an interested party in the licensing litigation after affidavits raised channel deactivation; GRA assured licensed operators' paybills would stay on.
- KRA's +59.2% growth in withholding on betting and gaming in FY2025/26 is the fiscal dividend of that integration.

SOUTH AFRICA

South Africa is the exception: a card/EFT/voucher market with 86% of betting GGR online and no central monitoring system for betting.

- NCEMS covers LPMs only.
- FY2024/25 report commits to intensified awareness campaigns and enforcement to confine consumers to compliant operators and certified equipment.
- NGB explicitly links the 25.6% growth to more pronounced social consequences — political groundwork for the Treasury's national online tax discussion and tighter advertising rules.

KENYA COMPLIANCE STACK

Kenya's regime is designed to make the licensed channel fully observable to the state, requiring full infrastructure before the first bet.

- Stand-alone advertising regulations and a 6% levy on advertising spend (draft proposed 10%); data encrypted and held on servers in Kenya unless exempted.
- KES 100m (~$775k) ring-fenced gambling capital, one-year licence term and 20% WHT on winnings credited to accounts.
- A B2B/B2C stack needs in-country hosting or an exemption, a tax API, a monitoring-system feed, and PSP contracts that survive regulatory suspension.

CONTINENTAL DIRECTION

More of the value chain is being brought inside the licence; compliance cost, not the licence fee, is becoming the main barrier to entry.

- Ethiopia's relaunch is framed around stricter controls; Nigeria's state regulators (LSLGA in particular) attach technical and consumer-protection standards to online licences.
- Ghana removed a player-side tax but is reportedly adding VAT.
- Payments, data and marketing are converging inside the licence perimeter across the continent.

PAYMENTS, RG AND ADVERTISING — RULE MAP	RULE	JURISDICTION	STATUS	OPERATOR IMPLICATION
PSP approval to process gambling payments	GRA approval; revocable	Kenya (LN 112)	In force Jun 2026	Loss of approval = no collections
Paybill declaration & cut-off precedent	All paybills declared; 58 cut Apr 2025	Kenya	In force	Mobile money is enforcement lever
Tax-at-source & central monitoring integration	KRA system + GRA CMS before trading	Kenya	In force	WHT on betting/gaming +59.2% FY25/26
Data residency	Servers in Kenya unless exempted; encryption in transit/at rest	Kenya	In force	Hosting/exemption needed pre-launch
Advertising levy	6% of ad spend (draft 10%)	Kenya	In force	Separate advertising regulations
Winnings withholding	20% at credit to account	Kenya	From 1 Jul 2026	Ghana repealed 10% in 2025 [unverified]
Provincial licensing; cards/EFT/vouchers	No national online framework; NCEMS for LPMs only	South Africa	Standing	Treasury national online tax paper [unverified]
RG direction	NGB: problem gambling rising; enforcement intensified	South Africa	FY24/25 report	Political cover for tax/ad tightening
Relaunch conditions	Stricter regime signalled; no timetable	Ethiopia	Pending	Do not model revenue

9 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- South Africa offers an audited, ~$2.4bn online betting pool (R44.5bn, 86% of betting GGR) growing 45–49% with an effective betting tax of only 6.6% of GGR and unlimited bookmaker licences in the Western Cape/Mpumalanga — the only African market an entrant can underwrite on regulator numbers. structural
- Nigeria's demand rebound (+15.6% QoQ; SportyBet +16.9%, Bet9ja +14.8%) coincides with a now-settled constitutional position and a single multi-state instrument (URC) for online sports betting, casino and lottery across 20+ FSGRN states — the first workable multi-state licence since 2005. structural
- Ghana is the fastest-growing large market on demand (+21.5% QoQ) and removed the 10% player winnings tax in 2025 [unverified], improving price competitiveness versus the grey market. mixed
- Kenya's KES 50m (~$388k) annual online licence, KES 100m (~$775k) capital requirement and 6% ad levy will force out sub-scale brands; an operator with scale or a B2B route into SportPesa/Betika-tier incumbents can gain share in a market whose tax take grew 24.9% to KSh16.5bn (~$128m). structural
- The pan-African leaders are flat (betPawa −2.2%, Betway +0.2%; combined share of top-20 demand down to 51.3%), so share is contestable by country specialists with local content and payments. early
- Southern Africa ex-SA (Botswana +11%, Zimbabwe +9.9%) and DR Congo (+4.2%) are growing quietly with low brand concentration (NgeNge, Congo Bet single-market), offering adjacency entries from a South African base. early

▼ LOWLIGHTS

- Kenya's entire fee and capital schedule is sub judice (JR E251/2026): fees are being paid under a refund undertaking, the 2 Oct judgment slipped to a 12 Oct mention, and the wrong-signatory argument could void LN 111 — budgeting certainty is nil for FY2026/27. governance
- Stake/deposit-based taxes are spreading: Kenya 5% of all deposits (horse racing now included) plus 20% WHT on winnings credited to accounts; Tanzania 5% of stakes [unverified] — at a 4.6% blended sports hold such levies can exceed GGR and force odds compression. structural
- Nigeria has no audited market data, no verified fee/tax schedule, and a material number of states outside FSGRN where the URC has no legal effect — regulatory cost scales with state count and enforcement is ad hoc. structural
- South Africa's growth is decelerating (Q4 FY24/25 GGR R19.1bn below Q3's R20.1bn; Blask SA −0.8% QoQ; bookmaker count −7.1%) while National Treasury's national online gambling tax proposal [unverified] threatens the 6.6% effective rate that underpins the market's economics. watch
- Frontier markets can lose half or more of demand in a quarter — Mali −80.8%, Rwanda −56.1%, Tunisia −30.6%, Ethiopia closed since Dec 2025 — and Premier Bet's −33.3% shows how one geography can swing a 22-country operator. one-off
- Payment-rail enforcement (Kenya PSP approval, paybill cut-offs, data residency, tax-API and monitoring-system integration) makes licence suspension instantaneous and raises pre-launch fixed cost; expect replication in Tanzania and Uganda. structural
- The continent is not growing in aggregate on a demand basis (−1.9% QoQ after a steeper Q2), so entry plans must assume share-taking against entrenched local leaders (Hollywoodbets, SportyBet, Bet9ja, SportPesa) rather than market lift. watch

10 FORECAST & OUTLOOK

Guidance bridge. The Q2→Q3 bridge is a demand bridge, not a GGR bridge. Blask's 42-market index moved from a broad Q2 contraction to −1.9% QoQ in Q3-26: the West African rebound (Nigeria +15.6%, Ghana +21.5%) and small-base gains (Ethiopia, Sudan, Sierra Leone) were almost fully offset by the francophone/East African tail (Mali −80.8%, Rwanda −56.1%, Tunisia −30.6%, Angola −15.6%) and a flat South Africa (−0.8%). On the rules, the quarter's moving parts were Kenya's gazetted fee schedule (KES 50m online licence, 1-year term) and its litigation, the Finance Act 2026 tax base changes effective 1 July, Tanzania's reported 5% stake excise from July, Nigeria's first full year of URC fees, and Ethiopia's September relaunch signal.

Q2-26 AFRICA DEMAND	WEST AFRICA REBOUND	FRONTIER DRAWDOWNS	Q3-26 AFRICA DEMAND
Broad contraction	**Nigeria +15.6%, Ghana +21.5%**	**Mali −80.8%, Rwanda −56.1%, Tunisia −30.6%**	**−1.9% QoQ**
base	+	−	20 mkts up / 22 down

Independent view. Our independent view: **South Africa's FY2025/26 GGR (to 31 Mar 2026, due from NGB around Apr 2027) will show betting growth decelerating into the mid-teens-to-20% range from +44.7%** given the Q4 FY24/25 plateau and flat 2026 demand readings [estimate]; total GGR likely R85–90bn (~$4.6–4.9bn) [estimate]. **Kenya's licensed market will consolidate** — expect the number of licensed online operators to fall materially in the 2026/27 cycle as the KES 50m annual fee and KES 100m capital bite, while KRA betting receipts keep growing double-digit on the wider deposit base and account-credit WHT; the judicial review is more likely to produce a procedural remedy (re-gazettement) than a return to draft-level fees. **Nigeria's URC will become the de facto national licence** as more states join, but non-member-state enforcement and the absence of market data will persist through 2027. **Tax direction is unambiguously up and base-shifting (stakes/deposits, VAT, ad levies)**; effective tax on GGR for an online sports book will rise in Kenya, Tanzania and Ghana while South Africa's remains low until a national online tax is legislated — the single biggest swing factor for continental margins. Cost of compliance (data residency, monitoring integration, PSP gating) rather than licence fees will be the main barrier to entry by 2027.

What to watch next quarter:

- Kenya High Court judgment in JR E251/2026 (listed for mention 12 Oct 2026): fate of the Second (fee) and Third (capital) Schedules and the signatory challenge; GRA refund mechanics; number of licences actually issued for 2026/27.
- South Africa: National Treasury follow-through on a national online gambling tax and any Remote Gambling Bill; NGB FY2025/26 statistics (expected ~Apr 2027) for confirmation of the betting deceleration and online share above 86%.
- Nigeria: FSGRN membership growth and the published URC fee/renewal schedule for 2026–27; Lagos LSLGA and FCTA-LRO enforcement against non-URC operators; any revived federal legislation.
- Tanzania: Finance Act 2026 text and Gaming Board implementation of the 5% excise on stakes; operator odds/promotion response and any shift of demand to the grey market.
- Ghana: confirmation of the 20% digital-services VAT scope for online betting and Gaming Commission licence-fee changes for 2027.
- Ethiopia: ELS relaunch framework, licence caps, fees and timetable; treatment of operators whose licences were revoked in Dec 2025.
- Blask Q4-26 (Jan 2027): whether Nigeria/Ghana growth holds through the African football calendar and whether betPawa/Betway resume growth or continue to cede share.

DATA CONFIDENCE: MEDIUM High confidence on South Africa (NGB audited FY2024/25 report read in full) and on the Kenya licensing/litigation/tax facts (regulation parameters relayed by two independent reports plus EY's Finance Act 2026 alert and KRA FY2025/26 receipts); medium on Nigeria (legal framework from a June 2026 practitioner guide; no market, fee or tax data verified); low on Ghana, Tanzania, Ethiopia and all frontier markets, where rule changes were seen only at search-snippet level and are marked [unverified]. Blask Index is a demand proxy, not GGR; Africa-wide GGR is n/a (no regulator or verified market-intelligence figure obtained). The 15%-of-GGR Kenya betting/gaming tax is standing law not re-verified this cycle. FX used (not verified live): USD/ZAR ~18.3 (approximate at the 31 Mar 2025 period end of the NGB report); USD/KES 129 (as implied by Oct 2026 press conversions); USD/TZS ~2,570 (implied by trade-press conversion); ETB not converted. Web-tool budget was exhausted before Ghana, Tanzania, Ethiopia, Uganda and SA Treasury primary documents could be opened.

Sources: [Primary] National Gambling Board (South Africa) — Gambling Sector Performance in South Africa 2024-2025 Summary Report (FY to 31 Mar 2025; published Apr 2026) [read in full]; [Primary] Kenya Gazette Supplement No.162, Legal Notice 111 — The Gambling Control (Licensing) Regulations, 2026 (29 Jun 2026) [fetch blocked; parameters relayed via sources 6 & 7]; [Primary] Kenya High Court, JR E251 of 2026 — ruling of 7 Aug 2026 narrowing the stay (Kenya Law) [cited via source 6]; [Secondary] EY Tax Alert — Kenya enacts Finance Act, 2026 (betting/gaming excise base, 20% WHT on winnings, 'withdrawals' definition) [read]; [Secondary] Findmore Africa — Blask Africa Top Gambling Brands: Q3 2026 Rankings (20 Oct 2026) [lead article; read in full]; [Secondary] tech-ish — Kenya's online betting licence now costs KES 55 million (25 Aug 2026): LN 111 draft vs gazetted fees, LN 112 payment/data rules, court timeline [read]; [Secondary] Focus Gaming News Africa — Kenya gambling licensing case returns to court for direction (Oct 2026) [read]; [Secondary] Focus Gaming News Africa — Kenya betting tax revenue jumps 24.9% to KSh16.5bn in FY2025/26 (citing KRA FY2025/26 Revenue Performance Report) [read]; [Secondary] Mondaq / Adeola Oyinlade & Co — Navigating Nigeria's New Gaming Laws: A 2026 Regulatory Guide (26 Jun 2026): Supreme Court judgment, FSGRN/URC, LSLGA, FCTA-LRO [read]; [Secondary] Capital Ethiopia — Ethiopia prepares strict relaunch for sports betting, digital lotteries (20 Sep 2026) [snippet only; linked from lead article]; [Secondary] iGaming Business — Tanzania set to implement 5% excise duty on betting stakes (Jun 2026) [snippet only; unverified]; [Secondary] Focus Gaming News Africa — Tanzania government proposes 5% betting stake tax targeting TZS74.5bn [snippet only; unverified]; [Secondary] Focus Gaming News Africa — Ghana 20% digital VAT: impact on online betting (20 Oct 2026) [snippet only; unverified]; [Primary] National Treasury (South Africa) — Discussion Paper: The case for a national online gambling tax, 2025 [snippet only; not read]; [Secondary] Focus Gaming News Africa — Blask: Botswana leads 39 African markets in iGaming demand growth, H1 2026 [snippet only; unverified].

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.